Lebanon: IMF deal will be further delayed

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Prerequisites for an IMF package out of reach before the second quarter of 2027. Despite progress in the dialogue over aid for the country's strugglin||||||||||||||||

Lebanon
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IMF package now unlikely before second quarter of 2027

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Prolonged political wrangling, challenging economic conditions, delays in finalizing key bank reform legislation, and the potential resumption of full-scale conflict in Lebanon all make an IMF package unlikely before the second quarter of 2027 at the earliest.
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A successful constitutional challenge to the Bank Restructuring Law by Lebanese President Joseph Aoun will restore the central bank's broad role and potentially reopen disputes with the IMF over independent oversight of the bank restructuring process.
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Security risks may also hinder the government's economic agenda: Although Hezbollah is badly degraded and will likely avoid involvement in another round of all-out fighting among the US, Israel, and Iran (65%), Tehran will still try to shore up its proxy's military capabilities and may draw it into any major escalation (35%).

Prerequisites for an IMF package out of reach before the second quarter of 2027. Despite progress in the dialogue over aid for the country's struggling economy and financial system, major obstacles to finalizing two key pieces of banking reform legislation will likely block an agreement until the second quarter of next year—at the earliest. In discussions with Lebanese officials in Washington last month and on the sidelines of the annual meetings in Bangkok last week, IMF and World Bank officials signaled strong willingness to continue cooperation. Barring conflict-related postponements, an IMF delegation is expected to visit Lebanon next month to resume negotiations. Securing a staff-level agreement, a key step toward a full IMF program, will still require Lebanon to demonstrate that it is not backtracking on reform efforts, most notably on two pieces of legislation governing the repayment of depositors and bank restructurings.

Regarding the former, central bank Governor Karim Souaid recently expressed confidence that Lebanon would reach a consensus with the IMF by the end of the year on the main sticking points of the so-called Gap Law, which is meant to allocate an estimated $81 billion in losses stemming from the 2019 economic collapse among the state, commercial banks, and depositors. But he has also suggested that parliamentary approval of changes to the stalled legislation would not be in place until the second

quarter of 2027.

The government is insisting that parliament revise the Gap Law's financial assumptions owing to the economic and fiscal impact of the Israel-Hezbollah and US/Israel-Iran wars and the ensuing humanitarian crisis. Lebanon is also conducting a liquidity assessment to ensure the law's repayment schedule is credible. Revision of the Gap Law assumptions cannot proceed until the 2027 budget sent by the cabinet to parliament on 1 October secures approval—likely toward the end of January. Lawmakers must also tackle the highly contentious issues of the hierarchy of claims and the repayment schedule for small depositors. Concluding this and passing the law before the second quarter of next year—with the 2028 election campaign on the horizon—may be a struggle.

Challenge to Bank Restructuring Law has created further delays. Meanwhile, the Constitutional Council has upheld President Joseph Aoun's appeal last month challenging an article of the Bank Restructuring Law passed by parliament in August. The council restored a reference to the Lebanese Code of Money and Credit in Article 3 of the law that grants the central bank wide-ranging powers, potentially reopening discussion with the IMF on the need to have an independent authority to oversee restructuring. The decision is a sign of how entrenched political and banking interests continue to undermine progress (see: Lebanon reform setbacks keep IMF deal out of reach in 2026 , 01 October 2026).

The president sided with Souaid, the head of parliament's budget and finance committee Ibrahim Kanaan, and the Association of Banks in Lebanon, in arguing that the law's proposed changes undermined the Lebanese central bank's core responsibilities for bank restructuring in favor of a newly reconstituted and empowered Higher Banking Commission. There may also be a sectarian dimension to this move: Like the presidency, the central bank governorship is considered a Maronite Christian post under Lebanon's power-sharing system, meaning the loss of restructuring authority would weaken a key Christian-controlled post.

These near-term political obstacles to banking reform, which have prolonged the timeline for an IMF deal under the current government, appear to be weighing on Lebanese bond markets, where returns have stalled and are likely to grow increasingly sensitive to progress in talks.

Lebanon will likely avoid a major escalation of conflict in 2026. The US and Iran are headed for an intensification of hostilities after the US midterm elections (see: Hormuz attacks likely to compel US escalation after midterms , 15 October 2026). Nonetheless, Hezbollah will likely avoid becoming involved in its weakened state (65%). The Lebanese militant group's capabilities are far more degraded than initially thought. It has suffered major recent losses, such as the destruction of its Ali Taher ridge base in southern Lebanon; it continues to lose support among its Shia core constituency; and the Lebanese and Syrian governments have had greater success constraining its activities. Beirut seized a major shipment of explosives earlier this month.

Yet there is still a risk that Hezbollah could be drawn into a new regional war (35%). The group, though weakened and unpopular, retains a substantial portion of its missile arsenal and continues to receive Iranian military and financial support. It could take actions at Tehran's behest that plunge Lebanon into another major conflict.

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